

Lec 1

Accounting Basics — Notes

17th July, 2026

1. Definitions of Accounting

Definition 1 (Functional): Accounting is a means of collecting, summarising, analysing, and reporting — in monetary terms — information about a business.

Definition 2 (AICPA-style): The art of recording, classifying, and summarising, in a significant manner and in terms of money, transactions and events of a financial character, and interpreting the results thereof.

Definition 3 (Modern): The science of recording and classifying business transactions, and the art of making significant analysis and communicating results to those who must decide or judge.

Note: Notice the progression across the three definitions — from a simple functional description, to the classic "art of recording" definition, to accounting framed as both a science (systematic recording) and an art (analysis and communication).

2. Stakeholders in Accounting

Definition: Stakeholders are individuals or groups who have an interest in the financial performance and position of a business, and who use accounting information to make decisions.

Type	Examples	Interest
Internal	Owners/Shareholders, Management, Employees	Profitability, wages, job security, growth
External	Investors, Creditors/Lenders, Suppliers	Returns, creditworthiness, repayment ability
Regulatory/Government	Tax authorities, Government agencies	Tax compliance, regulatory compliance
Others	Customers, Competitors, General public, Analysts/Researchers	Product reliability, benchmarking, economic impact

3. Fraud vs. Error

Basis	Fraud	Error
Intention	Intentional/deliberate misstatement	Unintentional mistake
Purpose	To deceive, gain undue advantage, or misrepresent financial position	No intent to deceive; arises from oversight
Examples	Manipulation of records, misappropriation of assets, suppression of transactions	Wrong calculation, posting to wrong account, omission by mistake
Legal implication	Punishable offence; may attract legal action	Generally corrected on discovery; not punishable
Detection	Harder to detect (often concealed)	Easier to detect through routine checks

4. Balance Sheet

Definition: A Balance Sheet is a financial statement that presents the financial position of a business at a specific point in time, showing its **Assets**, **Liabilities**, and **Owner's Equity (Capital)**.

Basic equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$

Importance:

- Shows the financial position (solvency) of the business as on a given date
- Helps assess liquidity — ability to meet short-term obligations
- Used by investors and creditors to evaluate creditworthiness and risk
- Aids management in decision-making and financial planning
- Required for statutory/regulatory compliance and tax purposes
- Enables comparison of financial position across periods (trend analysis)